

NEW YEAR, NEW HOPE

High valuations in secondary market and subdued earnings growth drove investors towards the primary market. How will 2026 pan out?

BY AMIT MUDGILL



CALM SKIES ARE not an excuse for careless sails." This adage sums up market watchers'

sentiment as domestic benchmarks greet the New Year with near-record highs and stock investors grapple with bigger questions.

The resilience of headline indices Nifty and Sensex hid the bruising the broader market received in 2025, raising questions over whether the Indian market can position itself as Asia's 'anti-AI bet' in 2026, whether foreign flows will return on India-US trade deal, and whether domestic investors will keep calm and stay committed despite a painful year for the broader market.

As the father of value investing, Benjamin Graham, once put it, the market is a voting machine in the short term, but a weighing machine in the long term. Eventually, earnings have to catch up to valuations. And all this was elusive all through this year.

THE IPO SPREE

The year 2025 saw as many as 364 companies coming out with IPOs till December 19—a rate of one per day, raising about ₹1.9 lakh crore. This even as promoters, private equity, and venture capitalists offloaded over ₹2 lakh crore worth of shares via block deals. The much-cared-about foreign outflows stood at ₹1.5 lakh crore. Most of this supply was quietly absorbed by over ₹7 lakh crore put in by domestic institutional investors, preventing deeper damage to the frontline indices.

Stock portfolios still bled, as a total of 2,566 out of 3,900-odd actively traded listed stocks fell by more than 10%.

Fund managers and stock analysts, however, see a silver lining. The Street expects Nifty EPS in FY27 at approximately ₹1,280, implying a 20 times FY27 estimated earnings multiple, according to Dhiraj Relli, MD & CEO at HDFC Securities.

MARKETS IN ACTION

► **2025 saw as many as 364 IPOs, one per day**

► **A total of 2,566 out of 3,900-odd actively traded stocks fell by more than 10%**

► **Against a 8-9% rise for Nifty and Sensex, the market value of all listed stocks rose 6% since the last year**

► **Relative, absolute market valuations far more palatable than at the start of 2025**

► **Strong corporate earnings growth, credit growth, 80% H1 capex growth offer hope**